households these liquidity services safely and get a rent, but this advantage will also become eroded as new payments institutions and technologies emerge.

The first grand bargain – cheap deposits in return for financing the government – is therefore being threatened from both sides. Deposits will not continue to be cheap, while the government cannot continue to pre-empt financing at the scale it has in the past if we are to have a modern entrepreneurial economy. This is yet another reason why fiscal discipline will be central to sustainable growth going forward.

Public sector banks (PSBs) are, if anything, in a worse position than private sector banks, which is why the second bargain is also under threat. As low-risk enterprises migrate to financing from the markets, banks are left both with very large risky infrastructure projects and with lending to small- and medium-sized firms. The alternative to taking these risks is to plunge into very competitive retail lending, so public sector banks may have little option, especially if the government pushes them to lend to infrastructure. Many of the projects being financed today, however, require sophisticated project evaluation skills and careful design of the capital structure. Successful lending requires the lender to act to secure his position at the first sign of trouble, otherwise the slow banker ends up providing the loss cover for more agile bankers, or for unscrupulous promoters. To survive in the changing business of lending, public sector banks need to have strong capabilities, undertake careful project monitoring, and move quickly to rectify problems when necessary.

In the past, PSBs had the best talent. But today, past hiring freezes have decimated their middle-management ranks, and private banks have also poached talented personnel from PSBs. PSBs need to be able to recruit laterally, while retaining the talent they have, but to do so they need to be able to promise employees responsibility as well as the